

next 10-20 years. To make it in the immediate future, you actually have to deliver the bottom-line results and start to make progress on the non-financial results. It's not that hard. What one needs to do on the ESG agenda is to start to make a commitment, bring about a behavioural change and then measure oneself to demonstrate progress.

If you want to move away from coal or oil or any other carbon-intensive energy or supply chain source, and if you want to say 'stop that tomorrow', I've got issues related to cost, security and availability. And that's what you're dealing with right now in Europe, as we think about the energy crisis.

Now what I can do, though, is to say I will be greener. I will make progress over the next couple of years and do that in a fair and equitable way such that I

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**“The biggest moment is the existence of C-suites of governments and corporates facing an enormity of challenges. This is coming with tremendous speed and impact. The question is, are we going to make the right decisions, be agile and move in the right direction, or will we miss the opportunity?”**

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don't assert the negative attributes, while at the same time make the change the world needs. To me, these things go hand in hand. It's an end statement and not one or the other. If any organisation is developing a strategy or re-articulating or refining it, you cannot do it without ESG.

Coming to behavioural change, this is where governance bodies become really important. The fact is, if I do a good job on climate, I should have a better brand. If I do a better job on climate, more employees will work for me. And if I do a better job on climate, I should have more consumers. I will also be cost-beneficial and deliver a better RoI [return on investment]. All these things are very much linked together.

**Q: It looks like a challenging year ahead globally. How can countries stand up to face what looks like a turbulent period?**

**A:** You are in a difficult economy, but you are going to see winners and losers. The winners will be the ones that move with speed. They'll continuously refine their balance sheets and operating cost structure for better short-term returns and also make faster, better decisions. They will deploy financial and people capital in the right places and take risk as much as they will minimise it. And the organisations that do that well will emerge stronger.

**Q: Are we then going to see valuations correcting themselves?**

**A:** You're already starting to see valuations come down on a sustained basis. But let's recognise that the system we have today has put a premium on revenue growth amid a stagnant economy. Now you're going to see revenue growth that should be equating the inflationary pressures. So, let's make sure [that] we're recognising the value for product innovation, bottom line contribution or gaining market share.

**Q: In that case, the composition of M&A activity, too, will be different, right?**

**A:** Very much so. You're going to see organisations now being more diligent and probably take a little more time in analysing why am I buying/potentially buying these assets. The other question will be: what comes with them, including the market, the margins, IP and the ESG agenda.

**Q: What is your economic outlook for the different parts of the world from where we are now?**

**A:** Europe today probably has the most concerns in terms of economic uncertainty that goes straight to the inflationary pressures and the energy price issues. I do think Europe is going to have a much more acute time of dealing with the severity of this. On the other side of the equation, India, and APAC more broadly, has a lot more upside potential, which organisations will want to take advantage of. And it's not only the domestic organisations in these countries—it's going to be the rest of the world saying that there is an opportunity to deploy capital and to actually get a return from it.

The US is placed smack in the middle. You've got an economy that is still strong, as is the labour market; plus, you have a consumer that is still confident on spending power. The question is going to be, 'How do we manage our way through some of the monetary policy changes that are in place; what will be the effect of that and the speed of that effect?'—BT

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